

Developing an Innovation Strategy

Chapter 4 — Managing Innovation

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Learning Objectives

By the end of this chapter, you will be able to:

- **Define** innovation strategy and its core components.
- **Contrast** "Rationalist" (planning) vs. "Incrementalist" (learning) approaches.
- **Analyze** the role of Dynamic Capabilities in sustaining advantage.
- **Evaluate** the tension between Technology Push and Market Pull.
- **Apply** Portfolio Management concepts to balance risk and return.

What is Innovation Strategy?

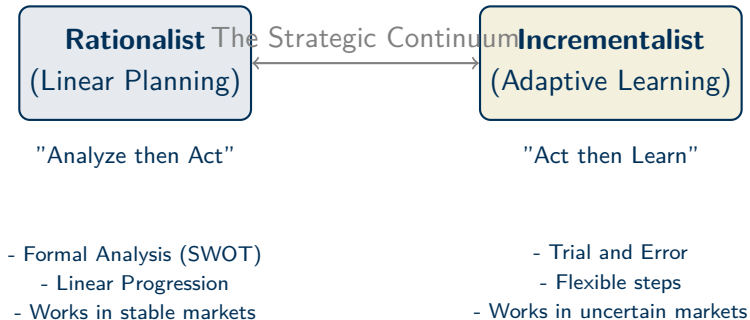
Definition

Innovation Strategy is not just a list of R&D projects. It is a roadmap for *how* the organization will use innovation to achieve its overall business goals.

It answers three questions:

1. **Where** will we focus? (Strategic Intent)
2. **How** will we win? (Competitive Advantage)
3. **What** resources do we need? (Capability Building)

Two Schools of Strategy



The Rationalist Approach

Also known as the "Design School" or "Linear Model."

- **Premise:** The environment is predictable enough to be analyzed.
- **Process:**
 1. Analyze Environment (Opportunities/Threats).
 2. Analyze Organization (Strengths/Weaknesses).
 3. Formulate Strategy.
 4. Implement.
- **Critique:** Often too rigid for high-velocity, disruptive markets.

Key Tool

Porter's Five Forces (Analysis of industry structure).

The Incrementalist Approach

Also known as "Emergent Strategy."

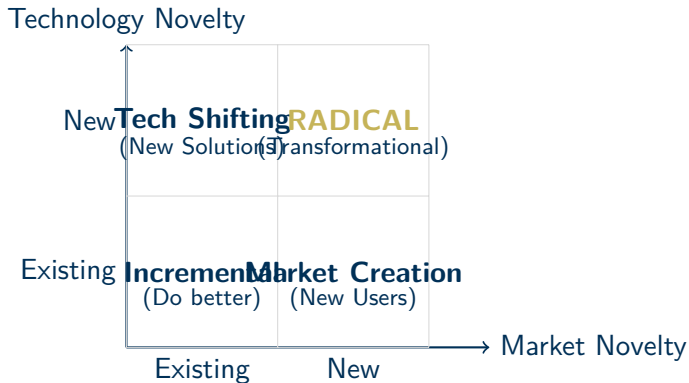
- **Premise:** The future is unknowable; strategy must evolve.
- **Process:** "Logical Incrementalism" (Quinn).
 - Take small steps.
 - Gather feedback.
 - Adjust course.
- **Benefit:** Reduces the cost of failure by avoiding "big bets" on unproven assumptions.

Agile Strategy

Modern "Lean Startup" methods are essentially incrementalist strategies applied to innovation.

Matching Capabilities to Markets

Innovation strategy involves matching what we *can* do (Capabilities) with what the market *needs*.



Porter's Generic Strategies for Innovation

How do we compete?

1. Cost Leadership

- Innovation focused on *Process Efficiency*.
- Goal: Become the lowest-cost producer.
- Example: Walmart, Southwest Airlines.

2. Differentiation

- Innovation focused on *Product Features* or *Brand*.
- Goal: Uniqueness that justifies a premium price.
- Example: Apple, Tesla.

Trying to do both simultaneously without a clear strategy often leads to being "stuck in the middle."

Dynamic Capabilities View (Teece)

In fast-changing markets, owning assets is less important than the ability to *reconfigure* them.

The Core Triad

1. **Sensing:** Identifying opportunities (Search).
2. **Seizing:** Mobilizing resources to capture value (Select/Implement).
3. **Transforming:** Continuous renewal of the organization (Reconfiguration).

Sustainable advantage comes not from the innovation itself (which can be copied), but from the superior *process* of innovating repeatedly.

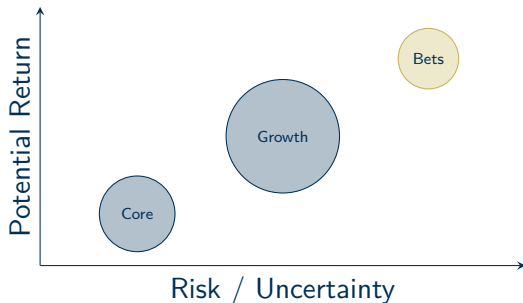
Moving beyond competition.

- **Red Oceans:** Existing markets with fierce competition. Strategy is about beating rivals (Zero-sum game).
- **Blue Oceans:** Creating uncontested market space. Strategy is about making competition irrelevant.

Value Innovation: Simultaneously pursuing *Differentiation* AND *Low Cost* by eliminating non-essential features while enhancing value drivers. (Example: Nintendo Wii).

Strategic Portfolio Management

Strategy is also about resource allocation. We need a balanced portfolio.



The 70-20-10 Rule (Google): 70% Core (Incremental), 20% Adjacent (New markets), 10% Transformational (Radical).

Summary:

- Innovation strategy aligns technological effort with business goals.
- It requires balancing **Rational Planning** (for stability) with **Incremental Learning** (for uncertainty).
- **Dynamic Capabilities** (Sensing, Seizing, Transforming) are the key to long-term survival.
- Success requires a balanced **Portfolio** of incremental and radical projects.

Thank You

Questions?